LIMITING THE FALLOUT

So what can policy makers do? While too much regulation can stifle the competition that drives financial sector innovation, not doing anything at all doesn't seem like a good option either. While we still know little about the complex workings of financial markets, two main tools come to mind.

Monetary policy. Monetary policy must be informed by its effects on incentives. As already pointed out, both a low level as well as an unanticipated sharp fall in interest rates can have perverse effects on incentives. This implies that rapid, large, changes in monetary policy have significant costs, not just in the domestic economy but in all interconnected markets. One implication is that policy changes ought to happen at a measured (though not necessarily predictable) pace rather than abruptly. Second, while deflation can be immensely harmful for the real economy, an unanticipated but persistent low interest rate can be a source of significant distortions for the financial sector, and thence for asset prices. Not only does this mean staying further away from deflation so that extremely low policy rates don't have to be used as a tool, it also implies exercising greater supervisory vigilance when those rates are in place to contain asset price bubbles. Third, and somewhat obviously, one can no longer just examine the state of the banking system and its exposure to credit to reach conclusions about aggregate credit creation, let alone the stability of the financial system. Finally, the financial sector may experience greater liquidity and solvency problems in some situations, so central banks have to be vigilant for any possible shortfalls in aggregate liquidity.

PRUDENTIAL SUPERVISION

The prudential net may have to be cast wider than simply around commercial or investment banks to include institutions such as hedge